

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Bakerly, LLC

Complainant,

v.

Docket No. 22-17

Seafrigo USA, Inc.

Respondent.

COMPLAINANT’S PROPOSED FINDINGS OF FACT

Complainant Bakerly, LLC (“Bakerly”), pursuant to 46 CFR § 502.214 and the Office of Administrative Law Judge’s Scheduling Orders, dated September 15, 2022 and March 23, 2023, states the following Proposed Findings of Fact (“PFF”).

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General Facts

Parties

Bakerly PFF 1. Bakerly, LLC is an importer of specialty French food products. CX00018-54.

Bakerly PFF 2. Seafrigo is a non-vessel operating common carrier (“NVOCC”) licensed by the Federal Maritime Commission as that term is defined at 46 U.S.C. § 40102 (17). CX00003.

Bakerly PFF 3. Bakerly's affiliated companies in France had for a lengthy period utilized the Seafrigo affiliates in France and Europe for distribution of their food products to most of its affiliates. CX00019.

Bakerly PFF 4. Bakerly LLC, the U.S. company, started importing refrigerated containers with Seafrigo of Bakerly food products from its parent companies in France in September 2015. CX00019.

Bakerly PFF 5. The following Seafrigo companies in the United States provided motor carrier transportation services in the U.S. as Federal Motor Carrier Safety Administration ("FMCSA") authorized motor carriers or as Property Brokers with authority to arrange motor carrier transportation with other FMCSA authorized motor carriers:

- a. Seafrigo Logistics USA Inc., Property Broker, U.S. DOT no. 2822764, MC- 936320
- b. Seafrigo NA Coldstorage, Property Broker, U.S. DOT no. 2811603, MC- 928441
- c. Seafrigo Transport USA, Inc., Property Broker/Motor Carrier, U.S. DOT no. 2497846, MC- 871075. CX00161.

Bakerly PFF 6. These Seafrigo companies, upon which Bakerly relied, were intended to provide services on behalf of Seafrigo directly as motor carriers and/or to arrange for surface transportation as Property Brokers on behalf of Bakerly for door delivery undertaken for ocean shipments for which Seafrigo provided ocean transport. CX00161.

Bakerly PFF 7. Door delivery was contracted pursuant to the ocean bills of lading issued to Bakerly for ultimate delivery to its various locations in the U.S. and for the return of empty containers to appropriate terminals. CX00161.

Timeline

Bakerly PFF 8. The terms of the U.S. imports with Seafrigo were originally on a DDP USA basis for delivery to two Bakerly locations in the United States. CX00019; CX00162.

Bakerly PFF 9. Bakerly in February 2019 decided to start buying from its Bakerly parent companies in France pursuant to FOB terms and to have Seafrigo USA handle the transportation from the port to door delivery. CX00019; CX00162.

Bakerly PFF 10. At that time Seafrigo USA was chosen to handle 100% of all imported reefer containers for Bakerly USA for ultimate door delivery to the various warehouse facilities maintained by Bakerly in the United States. CX00019.

Bakerly PFF 11. The Rules Tariff and the bill of lading terms and conditions provided the following rules related to the issues at hand:

- a. Rule 6.5

Rule 6.5

Carrier shall not be liable for any loss or damage arising from :

- (a) an act or omission of Merchant or person other than Carrier acting on behalf of Merchant from whom Carrier took the goods in charge,
- (b) compliance with the instructions of any person authorized to give them,
- (c) handling, loading, stowage or unloading of the goods by or on behalf of Merchant,
- (d) inherent vice of the goods,
- (e) lack of insufficiency of or defective condition of packing in the case of goods, which by their nature, are liable to wastage or damage when not packed or when not properly packed,
- (f) insufficiency or inadequacy of marks or numbers on the goods, coverings or unit loads,
- (g) fire, unless caused by actual fault or privity of Carrier,
- (h) any cause or event which Carrier could not avoid and the consequences of which he could not prevent by the exercise of due diligence. CX00057.

b. Rule 9

CARRIER'S CONTAINERS:

9.1 If goods are not received by Carrier already in containers, Carrier may pack them in any type of container.

9.2 Merchant shall be liable to Carrier for damage to Carrier's containers or equipment if such damage occurs while such equipment is in control of Merchant or his agents.

9.3 Merchant indemnifies Carrier for any damage or injury to persons or property caused by Carrier's containers during handling by or when in possession or control of Merchant.

9.4 Merchant undertakes to return such containers to Carrier within the time provided for in Carrier's applicable tariff; otherwise, Merchant shall pay Carrier for the demurrage or detention charges applicable to the containers.:

CX00057; Seafrigo's Response to Complainant's First Set of Admissions No. 5.

c. Rule 15

RULE: 15 Effective: 22Feb2017 (I)(R)

FREE TIME, DETENTION AND DEMURRAGE

15.1 Carrier is a non-vessel operating common carrier and the equipment it uses to provide transportation services to Merchant is provided by the vessel-operating common carrier (VOCC) that operates the vessel transporting the cargo.

15.2 The VOCC imposes detention charges if empty containers released for loading and/or loaded containers released for unloading are not returned within a specified period of time (free time). Merchant shall be liable to Carrier for any detention charges imposed on Carrier by VOCC as a result of Merchants failure to return containers within applicable free time.

15.3 The VOCC imposes demurrage charges if loaded containers are not removed from the marine terminal within a specified period of time (free time). Where service is port at destination and removal of containers from the VOCCs marine terminal is responsibility of Merchant, Merchant shall be liable to Carrier for any demurrage charges imposed on Carrier by VOCC as a result of Merchants failure to return containers within applicable free time.

CX00065-66; Seafrigo's Response to Complainant's First Set of Admissions No. 6.

d. Rule 17

USE OF EQUIPMENT

17.1 General Provisions

Merchant acknowledges and agrees that Carrier, as an NVOCC, does not own or operate equipment (i.e., chassis or containers). Merchants use of chassis leasing companies that own and/or operate the containers and chassis used to transport Merchants cargo. Merchant, by tendering shipments to Carrier for transportation, appoints Carrier as its agent for acquiring containers and chassis for such transportation and agreeing to free time, as well as demurrage and detention, storage and other charges that accrue with respect to containers and chassis used for such transportation, all of which shall be for the account of the Merchant except to the extent solely attributable to actions or omissions of Carrier.

17.2 Merchants Risk and Expense

Except as otherwise specifically provided in this Tariff Rule, and Carrier's bill of lading terms and conditions, the following shall be at the Merchants risk and all expenses in connection therewith shall be for the Merchants account:

1. The pick up, transport, and delivery of the containers/goods moving between the port of loading or port of discharge on the one hand, and Merchant's facility on the other hand, except to the extent the goods are door cargo; and
2. The care and custody of equipment.

Seafrigo's First Admissions No. 7.

NRAs

Bakerly PFF 12. Seafrigo sent quarterly rates to Bakerly: Exhibit 07-1: NRA March 2021, Exhibit 07-2: NRA June 2021, Exhibit 07-3: NRA September 2021, Exhibit 07-4: NRA December 2021, Exhibit 07-5: NRA March 2022. Bakerly Responses to First Set of Document Requests No. 7.

Bakerly PFF 13. The Commission's Interpretive Rule on Demurrage and Detention Under the Shipping Act 46 CFR Part 545, was effective as of May 18, 2020, and afforded such protection to Seafrigo and to Bakerly as the party to whom Seafrigo assessed those D&D charges as pass throughs. CX00019.

Snowstorm Period

Bakerly PFF 14. In January 2021, Bakerly for the first time received D&D charges from Seafrigo which related to December 2020 – January 2021 activity in the amount of \$361,178.54. CX00019; CX00298.

Bakerly PFF 15. A video meeting was scheduled between Seafrigo USA, Seafrigo France and Bakerly USA in February 2021 to discuss the above noted D&D charges. CX00019; CX00298; CX00334 (email thread scheduling the video meeting); CX00704 (Bakerly emails requesting information about the snowstorm).

Bakerly PFF 16. During the meeting Seafrigo rejected the responsibility of the poor performances claiming the NY snowstorm and the port closure made it impossible for them to perform services. CX00019; CX00298; CX00338 (internal email communication outlining strategy for December demurrage).

Bakerly PFF 17. Bakerly agreed to pay those charges and Seafrigo agreed to send Bakerly a \$30,000 credit as a commercial gesture but that it did not represent admission of fault. CX00019; CX00627 (8/29/21 email).

Bakerly PFF 18. During that meeting it was also discussed the VID incentive Seafrigo wanted to put in place. This was a volume incentive based on Bakerly 2021 FEU forecast. Seafrigo was then fully aware of the projected volumes and committed to its

ability to handle those volumes on a port to door basis. Bakerly was by then or about shortly to become Seafrigo's third largest customer shipping in the ranges of 1,000 FEUs annually. This was all known to Seafrigo at this meeting. CX00019.

Bakerly PFF 19. Participants at that meeting were: Jérôme Lorrain: CEO Seafrigo USA ; Al Raffa: Managing Director Seafrigo USA; Nathalie Pinçon-Daniel: International Export Sales Director Seafrigo France; Sébastien Hedouin: North America Sales Manager Seafrigo France; Charles Lefort: VP, Supply Chain Bakerly; Angela Vieira: Director, Supply Chain Bakerly. CX00019.

Bakerly PFF 20. No mention at that time was made by Seafrigo that remedial steps would be sought with respect to the demurrage assessed against Seafrigo by the pertinent ocean common carriers and their respective terminals related to the impossibility of performance due principally to weather and other situations leading to closure of the Port of New York during that period. CX00019.

July 2021

Bakerly PFF 21. In July 2021, Bakerly received an alert from Al Raffa from Seafrigo USA to inform Bakerly that demurrage and detention fees had started to pile up again since April and that Bakerly needed to clear its open balance to help Seafrigo with their cashflow as they had paid these in advance. CX00020.

Bakerly PFF 22. Before that date Bakerly never received any alert on demurrage and detention from Seafrigo. This was the first time since the December-January D&D issues that Bakerly heard about these Seafrigo performance issues since January 2021. CX00020.

Bakerly PFF 23. Angela Vieira, Director, Supply Chain for Bakerly USA and Charles Lefort had a telephone call with Al Raffa, a senior manager with Seafrigo USA, to discuss the situation and in particular, Bakerly's concern with Seafrigo's lack of performance and communication that led to those new charges. CX00020.

Bakerly PFF 24. Seafrigo started bringing up the lack of drivers issue for which it was suggested by Bakerly that Seafrigo should start looking at carriers with a higher rate structure to make sure that they could secure them to service Bakerly and to avoid D&D charges. This idea was not given serious consideration and was brushed away during the conversation. CX00020.

Bakerly PFF 25. In view of this, at this time, Bakerly started diversifying their importation program by adding a new carrier for the first time since 2015, when Bakerly had provided 100% of their business to Seafrigo. CX00020.

August 2021

Bakerly PFF 26. On August 2021, Charles Lefort had a call with Jérôme Lorrain, Seafrigo's USA CEO to discuss Bakerly's open balance on D&D charges and Seafrigo's potential inability to keep paying those charges on behalf of Bakerly if Seafrigo did not

clear Bakerly's balance. No threats were made at this point. It was more of a conversation to find solutions on how to clear the open balance. CX00020.

Bakerly PFF 27. It was agreed that Bakerly was going to spend time researching those charges internally (since no backups were provided by Seafrigo) and assess who was at fault (Seafrigo or Bakerly) and to identify payment amounts. CX00020.

Bakerly PFF 28. At this time Seafrigo agreed to issue another \$30,000 credit as a commercial gesture but it was stated that it did not represent admission of fault. Jérôme Lorrain also agreed to start sending to Bakerly weekly D&D reports so Bakerly could start tracking its containers attempt to avoid D&D charges. CX00020.

Bakerly PFF 29. However, it was quickly determined that Seafrigo's efforts to provide weekly reports were deficient in that they contained erroneous information, or the information provided was incomplete. CX00020.

Bakerly Independent Review of Invoicing by Seafrigo

Bakerly PFF 30. Because of the significant charges, Bakerly analyzed 165 invoices that were sent by Seafrigo from July to October 2021 in an independent review.¹ Bakerly's Supply Chain team reviewed information provided by Seafrigo and publicly-available information to identify the causation of the open D&D charges. The following results were communicated by Charles Lefort to Seafrigo's management team in October 2021:

- a. Bakerly approved \$224,000.00 of the D&D charges and rejected \$402,000;
- b. Bakerly needed to receive the weekly D&D report that Seafrigo committed to send during the August 2021 but never sent;
- c. Bakerly would automatically reject invoices for D&D due to lack of carriers until Bakerly and Seafrigo could have a conversation to discuss why Seafrigo is still not performing despite all the calls and promises.

CX00020-21; CX00296; CX00668.

Bakerly PFF 31. Based on this independent review, Bakerly started automatically rejecting invoices because Seafrigo failed to provide sufficient information regarding the reason for the charges. CX00020-21; CX00297CX00309 (note sent to Seafrigo informing them of the automatic rejection of invoices without its proper backup explaining the reasons for the charge); CX00316 (note sent to Seafrigo reminding them of the note sent in exhibit 04-1 following Seafrigo's failure to respond); CX00324 (reply from Seafrigo to note in exhibit 04-2 confirming their inability to provide the proper invoices backup requested in exhibit 04-1).

¹ This independent review included reviewing information provided by Seafrigo and a review of publicly-available information about the containers, carrier and terminal rates, etc. Supp. Aff. ¶¶ 37-39.

Duplicative Invoices

Bakerly PFF 32. In December 2021, in preparation for another discussion with Seafrigo's management team, an independent review was completed by Bakerly's Supply Chain team and Accounting staff to confirm that it understood the numerous D&D invoices from Seafrigo. Given the extreme difficulty to follow the huge amount of non-coordinated invoices sent by Seafrigo, Bakerly requested structuring the accounting system between Merchant and Carrier so that only one container would be covered by one Purchase Order and that only one invoice would be related per Purchase Order for single activities. These single activities would include: detention, demurrage, freight, per diem, duties, accessories.

Bakerly PFF 33. In that review it was determined that for over one hundred Purchase Orders, it appeared that more than one invoice had been charged by Seafrigo per Purchase Order. No information was received from Seafrigo with respect to this multiple invoice billings per Purchase Order, and Bakerly put a stop payment on these invoices for those that had not been paid, and now seeks reimbursement for those amounts which it did pay. CX00021; Suppl. Aff. ¶ 3-4.

Bakerly PFF 34. This invoicing negligence prevented Bakerly from paying any of these invoices as Seafrigo has never offered any explanations for any reason that the charges were repetitious even when paid. CX00021. See also below details of the POs/containers with multiple charges:

Demurrage on which payment was not paid: \$884,242.87

Demurrage paid: \$138,420.33

Demurrage total: \$1,022,663.10

Per Diem on which payment was not paid: \$10,242.55

Per Diem paid: \$7,349.00

Per Diem total: \$17,591.55

Total D&D disputed charges: \$1,040,254.65

CX00021.

Bakerly PFF 35. While Seafrigo states the following: "As Bakerly should be well aware, third parties such as steamship lines and marine terminal operators frequently issue supplemental invoices related to the same shipment reflecting additional charges which have accrued over time. NVOs such as Seafrigo pass through such charges to their

customers” (Seafrigo Response to Bakerly’s First Set of Interrogatories No. 13), Seafrigo never provided full support for these underlying payments to the steamship lines and MTOs nor the periods for which Seafrigo was paying. CX00021; Suppl. Aff. ¶ 7.

Bakerly PFF 36. Seafrigo admits to not providing this underlying supporting documentation. Seafrigo Response to Bakerly Second Set of Discovery Requests at No. 3, No. 4 (“During the time period at issue, Seafrigo was not obligated to provide supporting documentation in regard to third party invoices issued by parties such as steamship lines, marine terminal operators, or rail carriers which invoices were being passed through to Bakerly.”).

Bakerly PFF 37. Given the extreme difficulty to follow the huge amount of non-coordinated invoices sent by Seafrigo, Bakerly requested structuring the accounting system between Merchant and Carrier so that only one container would be covered by one Purchase Order and that only one invoice would be related per Purchase Order for single activities. These single activities would include: detention, demurrage, freight, per diem, duties, accessories. CX01319, Suppl. Aff. ¶ 3.

Bakerly PFF 38. It was agreed by Seafrigo to process this way, but unfortunately Seafrigo proved unable to fulfill this commitment as well. CX01318-22, Suppl. Aff. ¶¶ 2-16.

Bakerly PFF 39. The net effect and Bakerly expectations, and its experience with Seafrigo since 2015 of this was that all billable activities by type (freight, detention, demurrage, duties, and accessories) would be applicable to single containers by Bakerly’s Purchase Order number, and correlated to Seafrigo Invoice identified alpha numerically which invoiced always started with IMP (or US under new system). The practice since 2015 until 2021 had been the expectation that demurrage and detention would be invoiced either when the demurrage and detention was paid by Seafrigo when the demurrage ceased accruing---i.e., the container was picked up after Seafrigo received the final invoice for the activity. CX00021; CX01318-19, Suppl. Aff. ¶ 3.

Bakerly PFF 40. In Bakerly’s review as referenced in Bakerly PFF 32, it was determined that for over one hundred Purchase Orders, it appeared that more than one invoice had been charged by Seafrigo per Purchase Order for Bakerly. Thus, Seafrigo sent multiple invoices for each event, such as detention and demurrage. CX01319, Suppl. Aff. ¶ 4.

Bakerly PFF 41. While Seafrigo has indicated in its Answer that such multiple invoices are “a common practice in the industry whereby supplemental invoices have to be issued when demurrage or detention continues to accrue,” that is not, in fact the case. Bakerly’s experience, even with Seafrigo from 2015 through 2020, has been the single invoice, for the single Purchase Order/Container, per billing activity. CX01319-20, Suppl. Aff. ¶ 8.

Bakerly PFF 42. In Docket FMC-2022-0066,² FMC Proposed Rule on Demurrage and Detention Billing Requirements, the Commission, October 14, 2022, wherein it proposes that demurrage and detention be invoiced within 30 days of when charges stop accruing

² Available at <https://www.regulations.gov/document/FMC-2022-0066-0090>.

clearly states in referencing its Advanced Notice of Proposed Rule Making on this matter that “[t]he Commission sought comments on whether the Commission should require billing parties to issue demurrage or detention invoices within 60 days **after the charges stopped accruing.**” (emphasis added). The Commission further stated “that the Uniform Intermodal Interchange Agreement (UIIA) on which the industry relies currently requires that invoices be issued within 60 days and asked whether the 60-day timeframe was effective in addressing concerns raised by billing parties, or whether a longer or shorter time period would be more appropriate.” 87 Fed. Reg. at 8508, 8509 (Question 12) and 87 Fed. Reg. at 8508. This contradicts Seafrigo’s statement that “The vast amount of the charges in dispute are demurrage and detention charges assessed by VOCCs and marine terminals, which for most of the time period at issue were straight passthrough charges assessed without mark up.” CX01415.

Bakerly PFF 43. In summarizing the 81 comments submitted with respect to Docket FMC-2022-0066, FMC Proposed Rule on Demurrage and Detention Billing Requirements, the Commission’s summary of comments for the various industry participants (VOCCs, MTOs; NVOCCs, freight forwarders, and customs brokers; motor carriers; and beneficial cargo owners (BCOs), there was no mention of any of the groups supporting an invoice period before the charges stopped accruing which dissuades one from the conclusion that such a practice is currently a common industry practice. Pages 3/39-6/39.

Bakerly PFF 44. Seafrigo invoices (IMP10-21-07836-07, IMP10-21-07836-06, IMP10-21-07836-05, IMP10-21-07836-04, IMP10-21-07836-03, IMP10-21-07836-02) in Exhibit 9 to the Complaint are for Bakerly container no. SEGU9388853, Bakerly Purchase Order no. PO001287. All six invoices are demurrage charges to Bakerly for a total of \$28,761.43. CX00147-56.

Bakerly PFF 45. Each of the invoices in Exhibit 9 identified in Bakerly PFF 44 include the following information, among other:

- Bakerly’s Purchase Order no. 001287;
- Reference to Bakerly’s Container no. SEGU9388853;
- Arrival Date of 9/28/21; and
- The description of the charges for demurrage and the amount of demurrage charged

The Seafrigo invoices do not include the following information:

- The period of time which pertains to the amount of demurrage charged;
- The pickup date of the container;
- The fact of whether the container remains at the terminal is continuing to accrue demurrage;
- The Last Free Date of the container from which demurrage starts accruing.

CX00147-56.

Bakerly PFF 46. The Maher public information out-gated date is 10/27/2021 for IMP10-21-07836 for subject container SEGU9388853. The computation of demurrage incurred based on this information---i.e. Arrival date of 9/28/2021 and pick up date of 10/27/2021 is computed as follows based on the applicable Hapag Lloyd demurrage rates:

Free days at Port (reefer)----2 Work days;
Demurrage days----- 27 days
First 1-3 days @ \$446/day-- \$1,338.00
4-27 (24 days) @ \$640/day--\$15,360.00
Total demurrage \$16,698.00

CX01320.

Bakerly PFF 47. Additionally, through information Seafrigo provided after discovery was closed (SU1001631 and SU1001632, CX01407-08), Bakerly was able to identify another set of duplicative invoicing for PO000691, Container SEGU9420024, and Seafrigo reference no. IMP10-21-07638:

IMP10-21-07638-04 Invoice dated 10/12/2021----\$3,614.69
IMP10-21-07638-03 Invoice dated 10/12/2021----\$8,459.59
IMP10-21-07638-04 Invoice dated 10/08/2021----\$1,422.58
Total demurrage charged by Seafrigo: \$13,496.86

CX01320, Suppl. Aff. ¶ 12.

Bakerly PFF 48. Container SEGU9420024 arrived on September 17, 2021, and the last free date is two work days from that date: i.e., demurrage started running September 21, 2021. The Maher public information out-gated pickup date is 10/5/2021 for IMP10-21-07638 for subject container SEGU9420024, and the corresponding Maher Terminal and Hapag demurrage rates are as follows:

- a. The Maher Terminal demurrage rate as noted above at that time for reefer cargo was as follows for 14 demurrage days:
1-3 (3 days) @ \$446 for \$1,338.00, and 4-14 (11 days) @ \$640 for \$7,040.00 for a total of \$8,378. Again, the demurrage charged by Seafrigo was \$13,496.86.
- b. The Hapag demurrage rates at that time were as follows:
1-3 (3 days) @ \$684 for \$2,052.00, and 4-14 (11 days) @ \$869 for \$9,559.00 for a total of \$11,611.00. Again, the demurrage charged by Seafrigo was \$13,496.86, which does not match, neither with the lately communicated justification, nor with the affirmation stated by Seafrigo that charges were passed through without mark-up.
- c. The service of Maher Terminal of collecting demurrage for the ocean common carrier subject to the VOCCs own tariff is optional and conditioned on various minimal pricing requirements. While the practice is generally that the terminals collect demurrage for the ocean common carriers, in fact, it is an optional activity as stated in the applicable Maher Terminals LLC Marine Terminal Schedule no. 010599.

Claim Totals

Bakerly PFF 49. The total sums invoiced to Bakerly by Seafrigo during the Period was \$2,973,475.29. Removing \$198,551.87 from the total it originally claimed (\$95,207.56 in demurrage and \$103,344.31 in detention), the total is \$2,774,923.42. Of this amount, \$2,262,036.97 is for demurrage, and \$512,886.45 is for detention. On the demurrage portion, Bakerly has already paid \$973,227.05 to Seafrigo, and Bakerly seeks a refund of this amount per the allegations in Count 1; for the amount of demurrage that has not been paid which is disputed by Bakerly in the amount of \$1,288,809.92 Bakerly requests that this amount be held as unlawfully charged per the averments in Count 1, and that Seafrigo be directed to cease and desist collection of this amount. On the detention side, Bakerly has paid \$278,172.37 to Seafrigo, and \$234,714.08 detention charged remains unpaid. CX00016, 22.

Freight Charges

Bakerly PFF 50. The parties have resolved most of the outstanding freight charges. Seafrigo claimed that Bakerly owed \$865,336.89 in outstanding freight. Through negotiations involving document backup from Seafrigo, the outstanding amount is now \$38,184.50. Bakerly paid \$672,823.55 and \$11,506.51 for a total of \$684,330.06. Seafrigo agreed that \$142,122.33 is not valid (\$102,810.46 was actually D&D or completely abandoned \$39,311.87). The parties are still negotiating the final disputed \$38,184.50. CX01328-29, Suppl. Aff. ¶ 36.

Seafrigo's failures

Failed Communication

Bakerly PFF 51. Seafrigo had difficulties with staffing. CX00678 (Email on 1/5/22 “currently have 41 team members out with Covid or waiting on test results. We have another 40 that used our automated line to call out sick . . . With this [sic] mind, we will be lucky to stay on target with your current volume.”).

Bakerly PFF 52. Seafrigo did not have diligent practices and procedures.

- a. Seafrigo refusing an appointment at 4:30pm because that is too late for their drivers. CX00674.
- b. Seafrigo requested appointments from Bakerly's warehouse for containers that arrived on vessels over a week prior to the appointment request being sent; and Bakerly operations staff identifying driver problems unwilling to “drop” containers and insisting on live unloads after missing scheduled times. CX00508-37.
- c. Seafrigo notified that a container was supposed to be empty, but it was full and could not be picked up at the warehouse. Bakerly's warehouse responded that the container had been empty for a week. CX00863 (June 2021). Bakerly notified

Seafrigo that it will not cover per diem on this container, and Al Raffa agreed. CX00868 (6/25/21).

- d. Seafrigo provided confusing and incorrect information (including incorrect container numbers) to Bakerly. CX01309 (10/11/21, 10/12/21).

Bakerly PFF 53. Seafrigo's inability to pick up a container that was released at the port since 12/28/21. These are all communications from Seafrigo to the Bakerly warehouses and to Angela Vieira which underscore that drivers were unable to deliver the containers at the Allentown facility by 4:30 p.m. CX00451 (01/06/22).

Bakerly PFF 54. Seafrigo stated that the D&D came primarily from two categories: "1) an inability to pick up containers from a port or terminal, or to return empty containers to the port or terminal, because of nationwide congestion that plagued the ocean transportation industry in 2021 and early 2022; and/or 2) Bakerly's warehousing system which was unable to accept containers when they arrived at the port or terminal, because Bakerly lacked space to accept them or because its warehouse operators could not coordinate receipt of the containers." CX01412.

Bakerly PFF 55. Seafrigo's service was so poor that Bakerly moved all of their shipping needs to another NVOCC. CX01318, 1319.

Bakerly PFF 56. Seafrigo managed the communications related to these shipments because Seafrigo was responsible for the containers from port to door because these were door deliveries and Seafrigo was the NVOCC.

- a. See CX00180, 300-302, 379; CX00483 (a last-minute request from Bakerly to deliver 4 containers to a new location (2 for same state and 2 for another state)).
- b. See *also* Seafrigo communicating directly with Bakerly warehouses. CX00391 (communication between Preferred Freezer Linden, NJ and Seafrigo regarding containers not being delivered to the warehouse despite being on Seafrigo's delivery list).

Bakerly PFF 57. Seafrigo failed to properly communicate status of containers.

- a. CX0000413; CX00984 (on 9/29/21 Bakerly requested status update on the containers and Seafrigo replied that containers have been released since 9/23/21, and Bakerly knew containers had been at the port from 9/23/21 to 9/29/21 accruing demurrage and still not delivered to the final destination).
- b. CX0000441 (October 2021 email showing the warehouse Honor Foods Philadelphia, PA asking Seafrigo for a status update on containers that were supposed to be delivered to their facility because no appointments had been requested while the containers were already at the port. To make up for the delay Seafrigo is asking Bakerly if they can deliver without a genset which Bakerly logically does not allow for frozen food products. The communications also

indicate an admission that a container (MSCU7313831) had already been at Seafrigo's "for a few days").

- c. CX01002 (10/2021 email in which Seafrigo delayed delivering container: Seafrigo stated it would be delivered the next day and then on the next day, stating that it would not be delivered. No further explanation as to cause).
- d. CX00427 (November 2021 email shows that Seafrigo's carriers did not show at their original delivery appointment at Preferred Freezer La Porte, TX while the warehouse was securing plugs for the containers due to Seafrigo's inability to secure gensets. The warehouse is complaining about the lack of communication from Seafrigo drivers).
- e. Seafrigo billed Bakerly for a container that never left France. Bakerly is unable to confirm if they are related to detention or demurrage because Bakerly never received them. (CX00596; CX00601)
- f. Seafrigo failed to send some invoices to Bakerly. CX00596-97, CX00602.
- g. Email chain from Sunteck TTS urging Seafrigo to schedule pick up of containers before LFD expires on 1/19/22 with no response from Seafrigo until 2/3/22. CX00639.

Bakerly PFF 58. By January 2022, Bakerly determined that Seafrigo failed to diligently service Bakerly's containers on door delivery because Seafrigo had been running its business under capacity as to truckers, clerical staff, and that their internal software was unable to provide current solutions to the issues which Bakerly had been experiencing with Seafrigo. CX00022.

Bakerly PFF 59. This was stated at a meeting in Miami at that time between Bakerly and Seafrigo's USA CEO at which the following persons participated: Jérôme Lorrain: CEO Seafrigo USA; Fabian Milon: COO Bakerly; Charles Lefort: VP, Supply Chain Bakerly; Angela Vieira: Director, Supply Chain Bakerly. CX00022.

Bakerly PFF 60. In January 2022, Bakerly learned from Seafrigo's CEO information that explained the history of fiascos experienced by Bakerly:

- a. That Seafrigo bought 30 trucks at the beginning of the year but could not find 30 drivers; at that time Seafrigo still had 10 trucks which were not running;
- b. That Seafrigo required the capacity to pull 60 containers per day but at that time they could only do 20;
- c. That Seafrigo had just migrated from their old software system to a new Cargo Wise system, which allowed Seafrigo to now be able to monitor LFD (Last Free Day) factors, an important element for planning purposes to avoid not only demurrage, but an accumulation of demurrage once demurrage commences;

- d. That during the migration from the old system to the Cargo Wise system Seafrigo had lost track of some containers which created a backlog and containers were left at the port for an unnecessary amount of time. The clear conclusion from this was that Seafrigo was failing miserably in performing with a satisfactory level of due diligence.

CX00022.

CEVA Comparison

Bakerly PFF 61. In view of the clear lack of due diligence by Seafrigo in meeting its door delivery services, Bakerly signed with a CEVA logistics company to provide the ocean, trucking and U.S. Customs clearance services with CEVA companies to give them a portion of Seafrigo's containers at this time. CX00020.

Bakerly PFF 62. Note a telling comparison for a period in October 2021 when both Seafrigo and CEVA removed containers during the same time period from the same terminal, Maher Terminal. There were zero charges for the CEVA activity and \$60,292.24 in demurrage and per diem charges accrued by Seafrigo. CX00020.

Bakerly PFF 63. CEVA's far superior performance at the same time and place as Seafrigo proved to Bakerly that Seafrigo had not been operating with due diligence in the timely collection of loaded containers and the return of empty containers. CX00022; *see also* CX00276-78 (Bakerly comparison of detention and demurrage charges between CEVA and Seafrigo).

Bakerly PFF 64. An 10/5/21 email outlining containers that are still at the port. Bakerly, even though not required to do so, since it is shorting a strategic customer, decides to look for its own drivers to pick up the containers left at the port by Seafrigo since released on 9/23/21. This is an example of recurring misinformation on which Seafrigo relied and which it provided to Bakerly. CX00413.

Bakerly PFF 65. In a parallel phone conversation between Angela Vieira (Director, Supply Chain Bakerly) and Nathalie Pinçon-Daniel (International Export Sales Director Seafrigo France), Nathalie mentioned to Angela that Seafrigo USA needed to hire more people just like Seafrigo France did to be able to serve the Bakerly account to the expected service level. It became very clear to Bakerly from these conversations that the large demurrage and detention numbers were directly related to the deficiencies in the Seafrigo operations. CX00022. *See* CX 00258-59 shows a request from Angela Vieira (Director, Supply Chain Bakerly) to exchange on the phone with Nathalie Pinçon-Daniel (International Export Sales Director Seafrigo France). In the phone conversation that followed that email, Nathalie mentioned to Angela that Seafrigo US needed to hire more people just like Seafrigo France did to be able to serve the Bakerly account to the expected service level.

Seafrigo's Inability to Track Their Own Work

Bakerly PFF 66. Seafrigo produced a spreadsheet with analysis provided for 1,037 lines of charges. CX01291.

Bakerly PFF 67. This document was produced three times and Seafrigo failed to identify the changes in the spreadsheet. CX01291 (produced on 4/14/23, referred to herein as “Round 2”); CX01164 (produced on 4/4/2023, referred to herein as “Round 1”); CX01010 (produced on 4/4/2023).

Bakerly PFF 68. Round 2 involved a review of invoices \$2,500 or less, which had not been covered in Round 1. But Round 2 also appears to have involved a re-review of invoices greater than \$2,500 that Seafrigo had already reviewed in Round 1. Seafrigo fails to provide any rationale or cite any produced documents for the change in analysis that led to it being responsible for \$8,943.50 fewer charges. CX01322.

Bakerly PFF 69. In Round 1, Seafrigo identified that it was at fault for \$168,792.58 worth of charges, but in Round 2, Seafrigo identified that it was only at fault for \$159,849.08. Thus, after Seafrigo reviewed additional invoices, it found that it was at fault for fewer charges. And Seafrigo provides no information to explain this change. It seems that a credit that was not accounted for in Round 1 may have been added to Round 2 for - \$9,522.00 and a charge of \$578.50 that they added in Round 2. But this explanation is based on Bakerly’s analysis because no explanation was provided by Seafrigo. CX01322.

Bakerly PFF 70. Seafrigo also added \$1,487.17 worth of transactions that were not present in the original claim. Again, no information is provided for how the total of Bakerly’s claim increased by \$1,487.17. CX01323.

Bakerly PFF 71. The spreadsheet contains the following columns:

- a. Year
- b. Month
- c. Quarter
- d. Internal #
- e. Seafrigo #
- f. Charge Description
- g. PO #
- h. Invoice Amount
- i. Invoice Type
- j. Invoice Status
- k. Paid Amount
- l. Paid Date
- m. Claimed Amount Letter
- n. Approved Amount Discovery
- o. Claimed Amount Discovery
- p. Snowstorm Amount
- q. Duplicated POs Amount
- r. PH2 - Invoice Amount
- s. PH 2 - SeaFrigo Invoice sent
- t. PH 2 - Payment Receipt
- u. PH 2 - Invoice / MTO Proof
- v. PH 2 - Email with backup sent

- w. PH 2 - What Back up sent
- x. PH 2 - Method Sent
- y. PH 2 - Operator Assigned
- z. PH 2 - Notes
- aa. PH 3 - Cause of charge
- bb. PH 3 - BackUp Available
- cc. PH 3 - Bakerly Notified
- dd. PH 3 - Payment Receipt
- ee. PH 3 - Notes
- ff. PH 3 - Name
- gg. PH 3 - Seafrigo Job#
- hh. PH 3 - Destination Whse

CX01323.

Bakerly PFF 72. Columns 'a' to 'q' (as listed in Bakerly PFF 71) were originally provided by Bakerly to Seafrigo through discovery. CX01323.

Bakerly PFF 73. Specifically, the spreadsheet assigned a "Cause of charge" in column AA, and two columns of Notes in column Z ("PH 2 - Notes") and Column AE ("PH 3 - Notes"). CX01323.

Bakerly PFF 74. A PivotTable helps to analyze a table of data in Microsoft Excel. PivotTables identify, based on data points in one column, what data exist in another column. CX01323.

Bakerly PFF 75. Based on the spreadsheets produced by Seafrigo (Bakerly PFF 66), Bakerly used PivotTables to identify, based on each "Cause of charge," what notes Seafrigo had included in "PH 2 - Notes" and "PH 3 - Notes." CX01323.

Bakerly PFF 76. The PivotTables are included in [**SUI003470_bakerly Analysis**]. CX01406. With each PivotTable included in a new tab. CX01323.

Bakerly PFF 77. Seafrigo lists the following items under "Cause of charge":

- a. Bakerly Warehouse
- b. N/A
- c. Snowstorm
- d. Later Return of empty container
- e. Lack of Trucker/Drive Capacity
- f. SeaFrigo Fault
- g. US Customs hold

- h. CLIENT WAS ADVISED BY BLAST EMAIL THAT DUE TO MARKET CONDITIONS AT THE TIME THAT DEMURRAGR OR PER DIEM MAY APPLY (referred herein as “BLAST EMAIL MARKET CONDITIONS”)
- i. STEAMSHIP LINE
- j. PORT CONGESTION
- k. GENSET STORAGE
- l. SEE NOTES

CX01324.

Bakerly PFF 78.

	Round 2	Round 1	Round 2 vs Round 1
Cause of charge	Seafrigo Amount Invoiced	Seafrigo Amount Invoiced	Seafrigo Amount Invoiced
Bakerly Warehouse	\$ 1,532,512.48	\$ 1,332,235.49	+\$200,276.99
N/A	\$ 470,552.59	\$ 733,566.31	-\$263,013.72
Snowstorm	\$ 361,178.54	\$ 361,178.54	+\$0.00
Late Return of empty container	\$ 191,267.69	\$ 151,028.15	+\$40,239.54
Lack of Trucker/Driver Capacity	\$ 177,574.50	\$ 176,832.50	+\$742.00
SeaFrigo Fault	\$ 159,849.08	\$ 168,792.58	-\$8,943.50
US Customs hold	\$ 68,745.59	\$ 49,841.72	+\$18,903.87
BLAST EMAIL MARKET CONDITIONS	\$ 4,758.97	\$ -	+\$4,758.97
STEAMSHIP LINE	\$ 3,712.50	\$ -	+\$3,712.50
PORT CONGESTION	\$ 2,120.12	\$ -	+\$2,120.12
GENSET SHORTAGE	\$ 1,901.40	\$ -	+\$1,901.40
SEE NOTES	\$ 789.00	\$ -	+\$789.00
Grand Total	\$ 2,974,962.46	\$ 2,973,475.29	+\$1,487.17

In the above table, Bakerly compared the Cause of Charge that Seafrigo provided between Round 1 and Round 2 by showing the sum of the invoice amounts for each Cause of Charge category. CX01325.

Bakerly PFF 79. There are numerous nonsensical conclusions drawn by Seafrigo in the spreadsheet based on a comparison of the “Cause of charge” and the other columns. Bakerly has identified these conclusions based on the facts provided by Seafrigo and the use of PivotTables to identify Seafrigo’s facts. CX01325.

Bakerly PFF 80. For example, through discovery (Bakerly PFF 86), Bakerly identified that it caused \$198,551.87. This amount should have been reflected at 100% in the “Bakerly Warehouse” cause of charge identified by Seafrigo, but it is not the case. Even after Discovery and agreement by Bakerly on its own responsibility, Seafrigo remains unable to hold a clear and reasonable account. Analysis below shows that this amount is split across all categories including \$16,040.37 in the “Seafrigo Fault” and \$109,695.42 in the unidentified cause of charge:

PH 3 - Cause of charge	Seafrigo Amount Invoiced	bakerly Amount Approved in Discovery
Bakerly Warehouse	\$ 1,532,512.48	\$ 25,793.67
BLAST EMAIL MARKET CONDITIONS	\$ 4,758.97	\$ 1,487.17
GENSET SHORTAGE	\$ 1,901.40	\$ -
Lack of Trucker/Driver Capacity	\$ 177,574.50	\$ 2,629.33
Late Return of empty container	\$ 191,267.69	\$ 42,905.90
N/A	\$ 180.00	\$ -
PORT CONGESTION	\$ 2,120.12	\$ -
SeaFrigo Fault	\$ 159,849.08	\$ 16,040.37
SEE NOTES	\$ 789.00	\$ -
Snowstorm	\$ 361,178.54	\$ -
STEAMSHIP LINE	\$ 3,712.50	\$ -
US Customs hold	\$ 68,745.59	\$ -
#N/A	\$ 470,372.59	\$ 109,695.42
Grand Total	\$ 2,974,962.46	\$ 198,551.87

CX01325.

Bakerly PFF 81. Another example, for charges that Seafrigo assigned to “Bakerly Warehouse” as the cause for some transactions (See Bakerly’s tab in Seafrigo’s excel file, “Pivot – Bakerly Warehouse”):

- a. Total is for 499 transactions (vs 243 transactions in round 1) amounting to \$1,532,512.48 (vs \$1,332,235.49 in round 1);
- b. For 101 transactions (vs 18 in round 1) amounting to \$133,420.59 (vs \$72,417.62 in round 1) are left without notes as to why Seafrigo identified those charges as caused by Bakerly Warehouse;
- c. In 193 transactions (vs 138 in round 1) amounting to \$880,597.20 (vs \$805,942.72 in round 1) (57% of all charges identified as caused by “Bakerly Warehouse”), Seafrigo provided the note as “CLIENT WAS ADVISED VIA EMAIL BLAST THAT DUE TO MARKET CONDITIONS AT THE TIME THAT PER DIEM OR DEMURRAGE MAY APPLY.”
- d. Thus, the balance of transactions was 205 (vs 87 in round 1) amounting to \$518,494.69 (vs \$453,875.15 in round 1), in which fault could potentially be assigned to Bakerly Warehouse.

CX01325.

Bakerly PFF 82. Seafrigo assigned “Seafrigo Fault” as the cause for some transactions (See Bakerly’s tab in Seafrigo’s excel file, “Pivot – SeaFrigo Fault”). Seafrigo provided the following notes on these charges:

- a. Caused due to time gap between Kizzy leaving and Imports taking over account. Trucker reached out to Kizzy for delivery appointment but Kizzy never responded causing a delay in action

- b. Dispatched 1+ week after ETA
 - c. DISPATCHED 2 WEEKS AFTER ETA
 - d. Dispatched 2+ weeks after ETA
 - e. Dispatched 20 days after ETA
 - f. Dispatched 20 days after ETA.
 - g. Dispatched 3 weeks after ETA
 - h. Dispatched 3+ weeks after ETA
 - i. Dispatched on time, however Operator failed to schedule delivery appt timely.
 - j. Dispatched several days after ETA
 - k. Dispatched several days after ETA.
 - l. Dispatched two weeks after ETA
 - m. It looks like this was only dispatched a week after ETA causing demurrage at the port
 - n. Kizzy did not follow up timely for delivery appointment with Warehouse
 - o. SEAFRIGO WRONGLY BILLED
 - p. This container was dispatched after the ETA
 - q. This container was dispatched after the ETA.
 - r. This container was dispatched after the ETA. No other emails found.
 - s. This is a credit
 - t. Trucker/Seafrigo reached out for delivery appointment 1+ week after delivery date.
 - u. Ultimately caused due to dispatching container 2 weeks after ETA
 - v. Ultimately caused due to SF reaching out for delivery appt very late after ETA date. Pre pulled until delivery date
 - w. "Whse didn't notify the trucker of empty until 2/17"
- CX01326.

Bakerly PFF 83. Seafrigo assigned “Unidentified” as the cause for some transactions (See Bakerly’s tab in Seafrigo’s excel file, “Pivot – Unidentified”):

- a. 240 transactions (vs 577 in round 1) amounting to \$471,341.59 (vs \$733,566.31 in round 1) are left as unidentified by Seafrigo in the cause of charge
- b. Seafrigo provided information in the spreadsheet that indicates a lack of due diligence related to the tracking of containers and billing process.
 - i. Seafrigo identified that for \$94,660.25 worth of invoices, the invoice was not sent. See Column “PH 2 - SeaFrigo Invoice sent”. This is Seafrigo’s fault.
 - ii. Seafrigo identified that for \$760,169.17 worth of invoices, Bakerly was not notified. See Column “Bakerly Notified”. This is Seafrigo’s fault.
 - iii. When Seafrigo identified that back was sent, the backup that is identified is insufficient. See Column “PH 2 - What Back up sent”. Seafrigo does not identify *what* backup was sent.
- c. Under Column “PH 2 – Notes,” Seafrigo produced the following notes that indicate certain practices for the “Unidentified” transactions:
 - i. No email back to customer was found.: \$179,289.45
 - ii. demurrage for this file was paid 3 diff. times for 3 diff. amounts: \$7,927.00
 - iii. In looking at the file I have reason to believe that we did infact double bill the client on the demurrage and incorrectly double posted the same cost to the file. It is not a loss, it just needs to be credited from the file. MCN 2/2/23 SSFN21005156 explained to AI there is a dup charge of \$3650 on the file but no proof of paying twice: \$3,659.50
 - iv. Invoice was never sent to anyone; sent to m.klampfl@seafrigo-usa.com on Feb 3rd, 2023: \$24,888.00
 - v. No proof on website that this was actually paid: \$1,389.00
 - vi. Several containers that may not pertain to Bakerly are not in Paycargo rcpt. Container # MSCU7420906 for INV #IMP10-21-05577-03 is included in this mass payment rcpt: \$7,565.00
 - vii. Several containers that may not pertain to Bakerly are not in Paycargo rcpt. Container # MSCU7420906 for INV #IMP10-21-05674-03 is included in this mass payment rcpt: \$7.888.00

- viii. The Additional \$4300 may not be valid. there is no receipt available to prove it was actually paid out. May be a dup.: \$17,820.00
- ix. This is not a Bakerly file. Customer: Overseas: \$3,037.55
- x. Seafrigo identifies that backup was not sent for many invoices:
 - 1. Seafrigo identified that for \$865,179.15 worth of invoices, the backup was not sent. See Column “PH 2 - Email with backup sent”.
 - 2. \$579,391.53 worth of invoices identified as “NO”. See Column “BackUp Available”
- ii. Additionally, Seafrigo identifies the following nonsensical items in Column “PH 3 – Notes”
 - 1. Billed on dummy file. Unable to find proof of any per diem payment in CW or IES.: \$1,245.00
 - 2. BRIDOR SHIPMENT: \$44.00
 - 3. Cannot locate anything on this.: \$4,849.00
 - 4. I do not find an email where Kizzy directly tells Bakerly about demurrage but they were aware of the issues all the way through.: \$7,888.00
 - 5. IN ADDITION TO CUSTOMS HOLD THE SSL TOOK A LONG TIME TO SEND US DEMURRAGE INVOICES AND TOOK LONGER TO UPDATE THE TERMINAL WITH THE RELEASE. BY THE TIME THE TERMINAL WAS UPDATED IT WAS TOO LATE FOR THE CARRIER TO PICK UP THE CONTAINER.: \$36,171.07
 - 6. OVERSEAS: \$3,037.55

CX01326-28.

Bakerly PFF 84. Seafrigo failed to provide a link between a corresponding/supporting document that would support/justify the claims/notes/comments made by Seafrigo in the excel spreadsheets for the over 3,000 pages of documents produced. If the supporting documentation is included in the thousands of emails/documents provided by Seafrigo, it is impossible to expect that Bakerly should do the work of searching through all the documents to possibly link them to the transactions in the excel file. CX01328.

Bakerly PFF 85. Seafrigo claimed \$102,810.46 in freight charges that were actually D&D. CX01328.

Bakerly's failures

Bakerly PFF 86. Upon review of Bakerly's files, Bakerly determined that \$198,551.87 of demurrage and detention can be attributed to failures of Bakerly's warehouses or staff (based on last minute changes to delivery location) for a collection of invoices from July 20, 2021 to October 8, 2021. CX00296, CX00225 (subsequently updated by CX00499-500, CX 00568 (Bakerly has added the receiving warehouse was in column "N." All transactions marked as "Lineage Allentown PA" and "Honor Foods Philadelphia PA" represent the charges that were assessed as a result of Lineage Allentown, PA performances and that Bakerly has agreed without prejudice to remove from the claim fully or partially)); CX00499, CX00545 from April 2021 (conversation between Al and Angela about the current labor shortage and actions taken by Bakerly to help); CX00552-67 from May 2021 (conversation between Bakerly and Lineage Allentown, PA regarding the performance issues).

Bakerly PFF 87. Bakerly identified documents relating to Bakerly being unable to accept or store goods at its warehouses in emails regarding container CRXU6958355 from February 26, 2021. CX 00262-75.

Bakerly Repeatedly and Continually Requested Additional Information and Backup Documentation from Seafrigo

Bakerly PFF 88. Bakerly repeatedly requested backup information from Seafrigo, to include the underlying invoices to substantiate the invoices from Seafrigo. CX00628 (2/17/22).

- a. Bakerly notified Seafrigo that if information is not shared in real time, Seafrigo is not able to track containers correctly, Seafrigo is responsible for "find[ing] drivers to take the containers from the port", Seafrigo is failing to retrieve empty containers in time, D&D invoices are not provided with supporting documentation in 1/28/22 email CX00630;
- b. 1/1/22 to 2/10/22 Bakerly requesting backup documentation via email CX00634;
- c. Bakerly requested information on containers and requested responses to overdue emails. CX00850-55 6/16/21;
- d. Bakerly requested backup documentation for invoices. CX00696 9/19/21; CX00718 2/28/21; CX00500-01.

Bakerly PFF 89. Seafrigo provided some minimal backup documentation. CX00730-34.

Bakerly PFF 90. Bakerly requested backup on \$500k in D&D and per diem and other charges in order to approve. 9/16/21 CX00699. Seafrigo denied this: "we have been sending all the invoices with the back-up on a case by case basis. There is no way we did not do it for all 500k of invoices." 9/17/21 CX00699.

Bakerly PFF 91. The parties had agreed that Seafrigo would provide a D&D report to Bakerly, but it was not provided until October 2021: "We are also still waiting for the

weekly D&D report I discussed on my last call with Jerome. Without this report we are flying completely blind and have not control/vision over the demurrages we are incurring. It's also preventing us from approving the invoices in a timely manner as we have to manually research what happened with the containers in order to approve the charges. I can't stress enough how important this report is for us, it would help for instance highlight demurrage for containers where Bakerly is responsible like the ones in this email thread below where we made a last minute change." CX00225 (October 20, 2021); Charles requesting the weekly D&D report (on 10/20/21) that was never received and outlining that Bakerly was able to find drivers in one instance much faster than Seafrigo and sharing the review of 165 invoices. CX00668. Bakerly never received a response as of 11/12/21 CX00667, and did not receive response until 11/13/21 CX00666. *See also* CX00385 (communication between Bakerly and Seafrigo regarding the continuous inconsistency of the daily reports received. See samples of serious inadequacy of Report information provided by Seafrigo which is consistent with information received that their software was inappropriate); CX00634 (Al admitting that the report of backup documentation is insufficient 2/10/22). And when Seafrigo did send the reports they were insufficient.

Bakerly PFF 92. In November 2021, after no response from Seafrigo on Charles Lefort's email sent in October; Charles Lefort sent another email to Seafrigo's management team to confirm that: (a) Bakerly will automatically reject any D&D invoices without proper reporting and invoice backup showing details/explanations on the reasons for D&D; (b) Bakerly will start transitioning drayage services to a third-party provider to limit the impact on the lack of drivers for which Bakerly had no daily/weekly updates from Seafrigo; (c) Bakerly still wants to be good partners and pay the invoices, but that they can't do that without any proper invoice backup. CX00021.

Bakerly Repeatedly Refused to Pay Based on Lack of Backup Documentation:

Bakerly PFF 93. Bakerly repeatedly admonished Seafrigo that Bakerly would not pay a premium based on driver shortages and generalized port congestion. *See generally* CX00618, specific examples below.

Bakerly PFF 94. Bakerly informed it will not pay for demurrage due to Seafrigo's inability to find drivers. CX00984 (9/29/21 email from Yudith).

Bakerly PFF 95. On October 20, 2021, Bakerly stated that it was refusing to pay invoices without proper support: "We are also still waiting for the weekly D&D report I discussed on my last call with Jerome. Without this report we are flying completely blind and have not control/vision over the demurrages we are incurring. It's also preventing us from approving the invoices in a timely manner as we have to manually research what happened with the containers in order to approve the charges. I can't stress enough how important this report is for us, it would help for instance highlight demurrage for containers where Bakerly is responsible like the ones in this email thread below where we made a last minute change.

For those reasons I instructed the team to reject invoices for demurrage due to lack of carriers until we can have that conversation. I don't feel right owning 100% of the financial exposure when we clearly have performance issues on Seafrigo's side.

Also want to take that opportunity to give you a recap of the findings from the team during the last 2 weekends. We had Yudith and Jessica research 165 invoices during the last 2 weekends to either approve or reject the invoices (which shouldn't and wouldn't happen should we have had a weekly D&D report)." CX00296, CX00231, CX00348 (approving \$224k, rejecting \$402k); *see also* CX00668.

Bakerly PFF 96. Bakerly informed Seafrigo that Bakerly cannot approve any D&D invoices without proper explanation/backup documentation. CX00576 (November 2021).

Bakerly PFF 97. Bakerly told Seafrigo, "[W]e are not covering demurrage or per diem due to lack of drivers." CX00654 (From Yudith to Melissa Curiel, Jessica Zuccaro, Samuel Pellot, on 10/19/21). Seafrigo responded: "When we see messages like this from your team, we start to grow concerned. // We need to know that your team fully understands the market conditions and that Seafrigo is going to continue to do it utmost to service all of your containers." CX00654 (10/19/21); CX00618.

Bakerly PFF 98. Bakerly reminded Seafrigo that invoices are not approved when they lack backup. CX00684 (12/17/21).

Bakerly PFF 99. Bakerly notifying Seafrigo that Bakerly "cannot cover demurrage fees" for "12 containers because" Bakerly was "not notified with enough time" to provide USDA information. Seafrigo disagrees "We did not notify you late. We notified exactly when USDA notified us of what they were asking for" and demands demurrage because it "is not a Seafrigo issue." CX00639 (2/8/22).

Bakerly PFF 100. Thus, Al Raffa's statements are not persuasive:

- a. "Prior to initiating this litigation Bakerly never asserted that it had no contractual obligation to pay detention and demurrage associated with the cargo." CX01415.
- b. "If Seafrigo had been informed that Bakerly thought that Seafrigo was assuming the obligation to pay detention, demurrage, per diem, and other ancillary charges, it would have refused to make the millions of dollars in advances it made on behalf of Bakerly." CX01416.

Bakerly PFF 101. Further, Al Raffa's comments in Bakerly PFF 100 are controverted by the fact that during Bakerly's independent reviews, if Bakerly was at fault, it would pay. See Bakerly PFF 32.

Cash Flow Issues

Bakerly PFF 102. Seafrigo suffered cash flow issues because of Bakerly's rejected invoices. CX00181; CX00187 (Seafrigo identifying credit issues due to June and July 2021 demurrage payments); CX00194 (Seafrigo requesting payment due to large outstanding

AR amount); CX00200 (Seafrigo requesting payment and outlining cash position was unsustainable and Bakerly responding that detention and demurrage charges did not have sufficient documentation to support the charges); and CX00213 (Seafrigo requesting payment due to its cash position and Bakerly outlining that Seafrigo is responsible for detention and demurrage and securing transportation to door per the terms of the agreement).

Bakerly PFF 103. Seafrigo and Bakerly never signed any credit agreements. Seafrigo offered a Volume Incentive Discount in March 2021 to apply to January 2021 (CX00256), a \$30,000 credit in March 2021 for January 2021 detention and demurrage charges (CX00258), and another \$30,000 credit in August 2021 for July 2021 detention and demurrage charges (CX00260) regarding billing credits offered by Seafrigo (CX00181).

Bakerly PFF 104. Seafrigo alerted Bakerly via email to difficulty in cash flowing the large charges. CX00622-25 (1/25/22); CX00625 (7/21/21, 7/22/21).

Bakerly PFF 105. After Bakerly reminded Seafrigo that invoices are not approved when they lack backup (Bakerly PFF 98), Seafrigo responded that Bakerly's policy is causing a cash flow issue for Seafrigo. CX00684 (12/17/21).

Bakerly PFF 106. Seafrigo told Bakerly it is difficult to float \$1 million. CX00696-97 (9/19/21).

Bakerly PFF 107. "Up to this point, Seafrigo has been financing all of the demurrage on behalf of Bakerly for the sake of ease and to avoid confusion with multiple parties getting involved." CX00714 (1/5/21 Al Raffa email).

Government Holds

Bakerly PFF 108. Containers were held due to FDA or CBP inspection. CX00812 Feb 2022 (CBP); CX00842 9/2021 (FDA); CX00880 (SEGU9289830 on customs hold); 3/2/22 CX00884.